Grade 9 Accounting

EMS Paper 1 · November 2026 · Debtors and Creditors
Study notes based on your demarcation and your class notes

PAPER 1 – What you are writing	
Time	2 hours
Marks	100 marks
Accounting: Debtors and creditors (these notes)	• Journals • Account debited and account credited • Assets, owner's equity and liabilities • General Ledger • Debtors Ledger • Creditors Ledger
Business studies	Primary, secondary and tertiary sectors · 8 business functions · Business plan
Economy	Demand and supply

Business studies and Economics are in your EMS Paper 1 notes. The school guideline says it must be read together with what your teacher gave in class.

Contents

1. Assets, owner's equity and liabilities
2. Debit and credit: the DAE / CIL rule
3. Source documents
4. The journals (CRJ, CPJ, DJ, DAJ, CJ, CAJ)
5. Account debited and account credited
6. Worked example: all six journals
7. General Ledger
8. Debtors Ledger and Creditors Ledger
9. One-page summary of your class notes

1. Assets, Owner's Equity and Liabilities

Everything a business has or owes falls into one of three groups, called the **elements**. They are linked by the **accounting equation**:

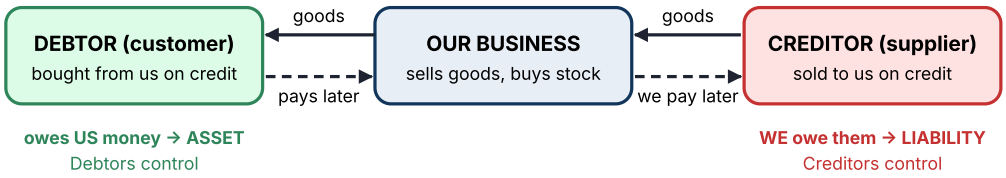
> **Assets = Owner's equity + Liabilities**
>
> A = OE + L

Element	Meaning (in simple words)	Accounts in Grade 9
Assets (A)	What the business **owns**, or money that **other people owe** the business	Bank, Trading stock, Debtors control, Equipment, Vehicles, Land and buildings, Cash float
Owner's equity (OE)	The **owner's share** of the business – what the business "owes" the owner	Capital, Drawings, and all **income** and **expense** accounts (because profit belongs to the owner)
Liabilities (L)	What the business **owes to outsiders**	Creditors control, Loan, Bank overdraft

Owner's equity in detail

Item	Effect on OE	Examples
Capital	**increases OE**	Money or assets the owner puts into the business
Income	**increases OE**	**Sales**, Rent income, Interest income, Commission income
Drawings	**decreases OE**	Money or stock the owner takes for personal use
Expenses	**decreases OE**	**Cost of sales**, **Debtors allowances**, **Stationery**, Wages, Water and electricity, Telephone, Bank charges

Debtors and creditors – who is who?



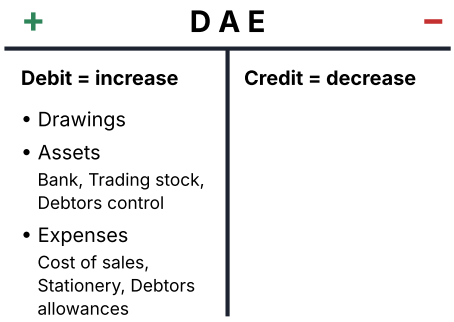
Debtors owe us (asset); we owe creditors (liability)

Every transaction keeps the equation in balance

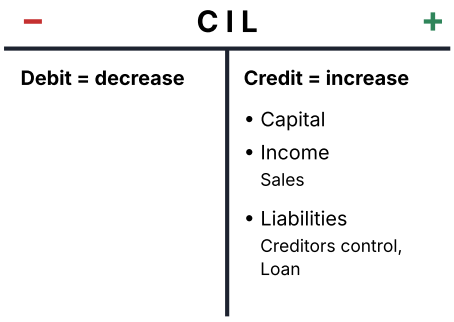
Transaction	A	OE	L	Why
Owner deposits R50 000 capital	**+50 000**	**+50 000**	0	Bank (A) up; Capital (OE) up
Bought stock on credit, R8 000	**+8 000**	0	**+8 000**	Trading stock (A) up; Creditors control (L) up
Sold goods on credit for R3 000 (cost R2 000)	**+3 000** **−2 000**	**+3 000** **−2 000**	0	Debtors control up, Sales up; Trading stock down, Cost of sales up
Paid a creditor R5 000 by EFT	**−5 000**	0	**−5 000**	Bank (A) down; Creditors control (L) down
Received R2 000 from a debtor	+2 000 −2 000	0	0	Bank up, Debtors control down – one asset swaps for another

2. Debit and Credit: the DAE / CIL rule

Every account is drawn as a **T-account**. The **left** side is **debit (Dr)** and the **right** side is **credit (Cr)**. Whether a side means "increase" or "decrease" depends on the type of account.



***DAE**: Drawings, Assets, Expenses increase on the DEBIT side*



***CIL**: Capital, Income, Liabilities increase on the CREDIT side*

The golden rules:

1. Every transaction affects **at least two accounts**.
2. One account is **debited** and another is **credited** with the **same amount** (double entry). So total debits always = total credits.
3. To decide: ask **which accounts** change, whether each is a **D-A-E** or **C-I-L** account, and whether it goes **up or down**.

Account (from your notes)	Type	Group	Increases on	Decreases on
Bank	Asset	DAE	Debit	Credit
Trading stock	Asset	DAE	Debit	Credit
Debtors control	Asset	DAE	Debit	Credit
Cost of sales	Expense	DAE	Debit	Credit
Stationery	Expense	DAE	Debit	Credit
Debtors allowances	Expense (negative income)	DAE	Debit	Credit
Capital	Owner's equity	CIL	Credit	Debit
Sales	Income	CIL	Credit	Debit
Creditors control	Liability	CIL	Credit	Debit

Why is Debtors allowances an expense? When a customer returns goods, we lose that income. Instead of reducing Sales directly, we record the returns in a separate account (Debtors allowances), which works like an expense (it lowers profit), so it is debited.

3. Source Documents

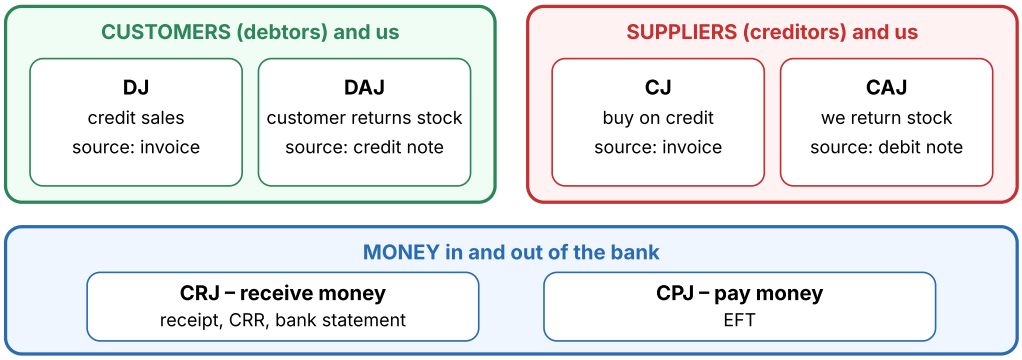
A **source document** is the **proof** that a transaction happened. Every entry in a journal must come from a source document. Your class notes use these abbreviations:

Document	Who issues it / what it shows	Journal
Receipt (R) – duplicate	We issue it when we **receive money** (capital from the owner, money from a debtor, rent income ...)	CRJ
Cash register roll (CRR)	Printout of the cash register showing the total **cash sales** for the day	CRJ
CR (as in your notes)	Cash register slip / copy – also proof of cash sales received. (Check with your teacher how they want "CR" written.)	CRJ
Bank statement (BS)	From the bank – shows money paid **directly into** our bank account (e.g. a debtor pays by EFT, interest)	CRJ
EFT (electronic funds transfer)	Proof that we **paid** money out of our bank account electronically	CPJ
Invoice (In) – duplicate	We issue it when we **sell on credit** to a debtor	DJ
Invoice (In) – original	We receive it from a supplier when we **buy on credit**	CJ
Credit note (Cn) – duplicate	We issue it when a **debtor returns goods** (or gets an allowance/discount)	DAJ
Debit note (Dn) – duplicate	We issue it when **we return goods** to a creditor	CAJ

> **Original vs duplicate:** the business that **issues** a document keeps the **duplicate** (copy) and sends the **original** away. So for our own sales we use duplicate invoices; for our purchases we use the original invoices we received.

4. The Journals

A **journal** is a book of **first entry**: transactions are first recorded here, from the source documents, in date order. Similar transactions go in the same journal. There are six:



The six journals, grouped the same way as in your class notes

Journal	Use it when …	Source document	Main money columns
Cash Receipts Journal (CRJ)	The business **receives money**: cash sales, capital, money from debtors, income	Receipt, CRR, BS	Analysis of receipts · Bank · Sales · Cost of sales · Debtors control · Sundry accounts
Cash Payments Journal (CPJ)	The business **pays money**: buying stock for cash, stationery, paying creditors, wages	EFT	Bank · Trading stock · Creditors control · Stationery · Wages · Sundry accounts
Debtors Journal (DJ)	We **sell on credit** to a customer	Invoice (dupl.)	Sales · Cost of sales
Debtors Allowances Journal (DAJ)	A **customer returns** goods bought on credit	Credit note (dupl.)	Debtors allowances · Cost of sales
Creditors Journal (CJ)	We **buy on credit** from a supplier	Invoice (orig.)	Creditors control · Trading stock · Stationery · Sundry accounts
Creditors Allowances Journal (CAJ)	**We return** goods bought on credit	Debit note (dupl.)	Creditors control · Trading stock · Sundry accounts

Every journal also has these columns at the start: **Doc** (document number), **Day**, **Name** of debtor/creditor (or details), and **Fol** (folio – the ledger page it is posted to).

> **Your notes in one line each:**
> CRJ – receive money (sales, capital, income) · CPJ – buy stuff (trading stock, stationery)
> DJ – credit sales · DAJ – customer returns trading stock → *customer and the business*
> CJ – buy on credit · CAJ – return things bought on credit → *business and another business*

Cost of sales and mark-up

Every time we sell stock, the stock leaves the business. So **two** things are recorded:

- the **selling price** → **Sales** (income), and
- the **cost price** of the goods sold → **Cost of sales** (expense), which also **reduces Trading stock**.

That is why the CRJ (cash sales), DJ (credit sales) and DAJ (returns) all have a **Cost of sales** column.

Mark-up is the % added to the cost price to get the selling price.
Selling price = cost price + mark-up. With a 50% mark-up: cost R2 000 → mark-up R1 000 → selling price **R3 000**
Find cost from selling price: cost = selling price × 100 ÷ (100 + mark-up %). R1 800 × 100 ÷ 150 = **R1 200**

5. Account Debited and Account Credited

Exam questions often give a list of transactions and ask: which journal, which account is debited, which is credited, and the effect on A, OE and L. Use this table:

Transaction	Journal	Account debited	Account credited	A / OE / L
Owner deposits capital	CRJ	Bank	Capital	A+ OE+
Cash sales (selling price and cost)	CRJ	Bank	Sales	A+ OE+
		Cost of sales	Trading stock	OE− A−
Received money from a debtor	CRJ	Bank	Debtors control	A+ A−
Received rent / interest	CRJ	Bank	Rent income / Interest income	A+ OE+
Bought trading stock (EFT)	CPJ	Trading stock	Bank	A+ A−
Bought stationery (EFT)	CPJ	Stationery	Bank	OE− A−
Paid a creditor (EFT)	CPJ	Creditors control	Bank	L− A−
Owner takes money for himself	CPJ	Drawings	Bank	OE− A−
Sold goods on credit	DJ	Debtors control	Sales	A+ OE+
		Cost of sales	Trading stock	OE− A−
Debtor returns goods	DAJ	Debtors allowances	Debtors control	OE− A−
		Trading stock	Cost of sales	A+ OE+
Bought trading stock on credit	CJ	Trading stock	Creditors control	A+ L+
Bought stationery on credit	CJ	Stationery	Creditors control	OE− L+
Returned stock to a creditor	CAJ	Creditors control	Trading stock	L− A−

Look at the pattern: a **return** is always the **reverse** of the original transaction. Credit sale: Dr Debtors control / Cr Sales → return: Dr Debtors allowances / Cr Debtors control, and the stock comes back (Dr Trading stock / Cr Cost of sales). Credit purchase: Dr Trading stock / Cr Creditors control → return: Dr Creditors control / Cr Trading stock.

6. Worked Example: All Six Journals

Paarl Sport Traders (owner A. Botha) sells sports equipment. Mark-up: **50% on cost**. Transactions for **March 2026**:

Date	Transaction	Journal
1	A. Botha deposited R50 000 as capital. Receipt 001.	CRJ
3	Bought trading stock on credit from Sportco, R8 000. Invoice SC12.	CJ
5	Sold goods on credit to J. Smit, R3 000 (cost R2 000). Invoice 101.	DJ
8	J. Smit returned goods, R600 (cost R400). Credit note 01.	DAJ
10	Returned damaged stock to Sportco, R500. Debit note 01.	CAJ
12	Cash sales, R4 500 (cost R3 000). Cash register roll.	CRJ
15	Paid Sportco R5 000 on account. EFT 01.	CPJ
18	Bought stationery, R350. EFT 02.	CPJ
20	Sold goods on credit to L. Daniels, R1 800 (cost R1 200). Invoice 102.	DJ
25	Received R2 000 from J. Smit. Receipt 002.	CRJ
28	Bought trading stock, R2 400. EFT 03.	CPJ

Cash Receipts Journal of Paarl Sport Traders – March 2026 CRJ1

Doc	Day	Details	Fol	Analysis of receipts	Bank	Sales	Cost of sales	Debtors control	Sundry amount	Sundry details
001	1	A. Botha			50 000				50 000	Capital
CRR	12	Cash sales		4 500	4 500	4 500	3 000			
002	25	J. Smit		2 000	2 000			2 000		
	31	**Totals**			**56 500**	**4 500**	**3 000**	**2 000**	**50 000**	

Bank total = Sales + Debtors control + Sundry (4 500 + 2 000 + 50 000 = 56 500). Cost of sales is not added – it is not money received; it just shows the cost of the stock that left.

Cash Payments Journal of Paarl Sport Traders – March 2026 CPJ1

Doc	Day	Name of payee	Fol	Bank	Trading stock	Creditors control	Sundry amount	Sundry details
EFT 01	15	Sportco		5 000		5 000		
EFT 02	18	Stationery shop		350			350	Stationery
EFT 03	28	Sports Wholesalers		2 400	2 400			
	31	**Totals**		**7 750**	**2 400**	**5 000**	**350**	

Debtors Journal – March 2026 DJ1

Doc	Day	Debtor	Fol	Sales	Cost of sales
101	5	J. Smit	D1	3 000	2 000
102	20	L. Daniels	D2	1 800	1 200
	31	**Totals**		**4 800**	**3 200**

Debtors Allowances Journal DAJ1

Doc	Day	Debtor	Fol	Debtors allow.	Cost of sales
01	8	J. Smit	D1	600	400
	31	**Totals**		**600**	**400**

Creditors Journal – March 2026 CJ1

Doc	Day	Creditor	Fol	Creditors control	Trading stock
SC12	3	Sportco	C1	8 000	8 000
	31	**Totals**		**8 000**	**8 000**

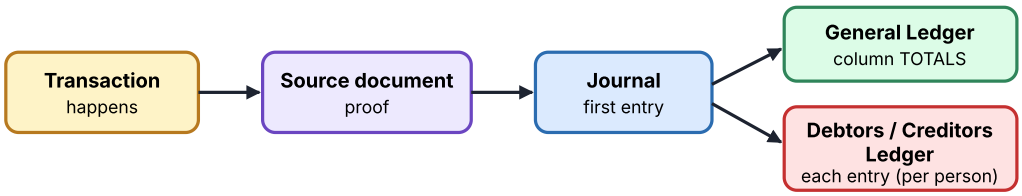
Creditors Allowances Journal CAJ1

Doc	Day	Creditor	Fol	Creditors control	Trading stock
01	10	Sportco	C1	500	500
	31	**Totals**		**500**	**500**

The **Fol** column in the DJ, DAJ, CJ and CAJ shows the page of the debtor's or creditor's account in the Debtors or Creditors Ledger (D1 = J. Smit, C1 = Sportco).

7. The General Ledger

The **General Ledger (GL)** is the main book that holds **all the accounts** of the business. At the end of the month the **column totals** of each journal are **posted** (transferred) to the GL.



How information flows through the accounting system

How to post to the GL

1. Each column total is posted to the account with the **same name** as the column.
2. Post it to the side that matches the double entry (see chapter 5): e.g. the DJ Sales total goes on the **credit** side of Sales (income increases) and the **debit** side of Debtors control (asset increases).
3. In each entry write: **Date** · **Details** = the **contra account** (the **other** account in the double entry) · **Fol** = the journal it came from (e.g. DJ1) · **Amount**.
4. Sundry column amounts are posted **one by one** to their own accounts (e.g. Capital, Stationery).

> Your teacher writes "**Total purchases**" and "**Total returns**" as the details in Creditors control (because the CJ total can include stock and stationery), and "**Total receipts**" / "**Total payments**" in Bank. Use the same wording as your teacher.

The GL of Paarl Sport Traders – March 2026

Balance sheet accounts section (assets, owner's equity, liabilities)

Bank

Dr (+)				(–) Cr				
2026 Mar 31	Total receipts	CRJ1	56 500		2026 Mar 31	Total payments	CPJ1	7 750

Capital

Dr (–)				(+) Cr				
					2026 Mar 1	Bank	CRJ1	50 000

Trading stock

Dr (+)				(–) Cr				
2026 Mar 31	Creditors control	CJ1	8 000		2026 Mar 31	Creditors control	CAJ1	500
	Bank	CPJ1	2 400			Cost of sales	CRJ1	3 000
	Cost of sales	DAJ1	400			Cost of sales	DJ1	3 200

Debtors control

Dr (+)				(–) Cr				
2026 Mar 31	Sales	DJ1	4 800		2026 Mar 31	Debtors allowances	DAJ1	600
						Bank	CRJ1	2 000

Creditors control

Dr (–)				(+) Cr				
2026 Mar 31	Total returns	CAJ1	500		2026 Mar 31	Total purchases	CJ1	8 000
	Bank	CPJ1	5 000					

Nominal accounts section (income and expenses)

Dr (–)				Sales				(+) Cr
				2026 Mar 31	Bank	CRJ1		4 500
					Debtors control	DJ1		4 800

Dr (+)				Cost of sales				(–) Cr
2026 Mar 31	Trading stock	CRJ1	3 000	2026 Mar 31	Trading stock	DAJ1		400
	Trading stock	DJ1	3 200					

Dr (+)				Debtors allowances				(–) Cr
2026 Mar 31	Debtors control	DAJ1	600					

Dr (+)				Stationery				(–) Cr
2026 Mar 18	Bank	CPJ1	350					

Balances at the end of March

Account	Debit total	Credit total	Balance
Bank	56 500	7 750	48 750 Dr
Trading stock	10 800	6 700	4 100 Dr
Debtors control	4 800	2 600	2 200 Dr
Creditors control	5 500	8 000	2 500 Cr
Capital	–	50 000	50 000 Cr
Sales	–	9 300	9 300 Cr
Cost of sales	6 200	400	5 800 Dr
Debtors allowances	600	–	600 Dr
Stationery	350	–	350 Dr
Totals of the balances			Dr 61 800 = Cr 61 800

The debit balances add up to the same as the credit balances – proof that every transaction was recorded with a debit and an equal credit.

8. Debtors Ledger and Creditors Ledger

The GL only shows **one total** for all debtors (Debtors control) and all creditors (Creditors control). To know **how much each person** owes or is owed, the business keeps a **separate account for every debtor and every creditor**:

- the **Debtors Ledger** – one account per customer, and
- the **Creditors Ledger** – one account per supplier.

These ledgers use a **running balance** layout (not a T-account), and every **single entry** is posted **straight from the journal** – not the totals.

Which documents go on which side (from your notes)

Debtors Ledger

Debit (+)	Credit (–)
Invoice (DJ) debtor owes more	Credit note (DAJ) Receipt (CRJ) Bank statement (CRJ) debtor owes less

A debtor is an asset: DAE – up on the debit side

Creditors Ledger

Debit (–)	Credit (+)
Debit note (CAJ) EFT (CPJ) we owe less	Invoice (CJ) we owe more

A creditor is a liability: CIL – up on the credit side

Debtors Ledger of Paarl Sport Traders

J. Smit D1

Date	Details	Fol	Debit	Credit	Balance
2026 Mar 5	Invoice 101	DJ1	3 000		3 000
8	Credit note 01	DAJ1		600	2 400
25	Receipt 002	CRJ1		2 000	400

L. Daniels D2

Date	Details	Fol	Debit	Credit	Balance
2026 Mar 20	Invoice 102	DJ1	1 800		1 800

Creditors Ledger of Paarl Sport Traders

Sportco C1

Date	Details	Fol	Debit	Credit	Balance
2026 Mar 3	Invoice SC12	CJ1		8 000	8 000
10	Debit note 01	CAJ1	500		7 500
15	EFT 01	CPJ1	5 000		2 500

- In the ledgers, the **details** column shows the **document** (invoice, credit note, receipt ...), not a contra account.
- Debtors Ledger: **debit adds** to the balance, **credit subtracts**. Creditors Ledger: **credit adds**, **debit subtracts**.

Checking: the ledgers must agree with the control accounts

Debtors list – 31 March	R	Creditors list – 31 March	R
J. Smit	400	Sportco	2 500
L. Daniels	1 800		
Total = Debtors control balance	2 200	Total = Creditors control balance	2 500

> The **total of all the balances in the Debtors Ledger** must equal the balance of **Debtors control** in the GL, and the total of the **Creditors Ledger** must equal **Creditors control**. That is why they are called **control** accounts – they check the ledgers. If they don't agree, there is a mistake somewhere.

9. One-Page Summary of Your Class Notes

Your two pages of class notes, checked and completed. Learn this page well.

+ DAE –
Bank · Trading stock · Cost of sales · Stationery · Debtors control · Debtors allowances
– CIL +
Capital · Sales · Creditors control

Journal	Document	Used for
CRJ	BS, CRR, CR, R	Receive money (sales, capital, income)
CPJ	EFT	Pay for stuff (trading stock, stationery)
DJ	Invoice	Credit sales
DAJ	Credit note	Customer returns trading stock
CJ	Invoice	Buy on credit
CAJ	Debit note	Return things bought on credit

Debtors Ledger: Debit (+)	Credit (–)
Invoice	Credit note, Receipt, Bank statement
Creditors Ledger: Debit (–)	**Credit (+)**
Debit note, EFT	Invoice

GL account	
Debit side (Dr)	**Credit side (Cr)**
+ Debtors control –	
Sales (DJ)	Debtors allowances (DAJ) Bank (CRJ)
+ Debtors allowances –	
Debtors control (DAJ)	
+ Trading stock –	
Creditors control (CJ) Bank (CPJ) Cost of sales (DAJ)	Creditors control (CAJ) Cost of sales (CRJ) Cost of sales (DJ)
+ Cost of sales –	
Trading stock (CRJ) Trading stock (DJ)	Trading stock (DAJ)
– Sales +	
	Bank (CRJ) Debtors control (DJ)
– Creditors control +	
Total returns (CAJ) Bank (CPJ)	Total purchases (CJ)

Small corrections to your notes:

- In **Debtors control**, "Debtors allowances" on the credit side comes from the **DAJ**, not the DJ.
- In **Debtors allowances**, the entry "Debtors control" comes from the **DAJ**.
- Added to complete the accounts: **Debtors control** is also credited with money received from debtors (Bank, CRJ); **Sales** is also credited with cash sales (Bank, CRJ); **Trading stock** is also debited with credit purchases (CJ) and cash purchases (CPJ) and credited with returns to creditors (CAJ); **Creditors control** is also debited with payments to creditors (Bank, CPJ).